

Microsoft Azure Posts 21% Growth as AI Workloads Fuel Cloud Demand

Copilot integration across Microsoft 365 drives enterprise adoption; OpenAI partnership remains central to strategy

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LOB	FY2025 Revenue	\$105.4B	Intelligent Cloud	\$125.5B	Net Income	21%	Azure Growth
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Microsoft reported fiscal year 2025 results that surpassed Wall Street expectations across nearly every metric, driven by accelerating demand for Azure cloud services and an expanding footprint of AI-powered Copilot products embedded in its flagship enterprise software suite. Total revenue reached \$279.0 billion, up 12.9% year-over-year, while net income of \$125.5 billion represented the highest in company history.

The Intelligent Cloud segment home to Azure, SQL Server, and GitHub generated \$105.4 billion in revenue for the fiscal year, growing 21% annually and marking the first time the segment crossed the \$100 billion threshold. CEO Satya Nadella attributed the acceleration to enterprises 'industrializing AI' by integrating Azure OpenAI Service into production workflows. 'Every company is now a technology company, and every technology company is becoming an AI company,' Nadella said on the earnings call.

Microsoft 365 Copilot, the AI assistant embedded in Word, Excel, PowerPoint, Teams, and Outlook, now has over 30 million paid seats across enterprise customers up from 14 million at the start of the fiscal year. The Productivity and Business Processes segment contributed \$98.3 billion to revenue, growing 13% as Copilot premium pricing (\$30 per user per month) lifts average revenue per user.

The company invested \$44.5 billion in capital expenditures during FY2025, primarily on data center construction across North America, Europe, and Asia Pacific to support surging AI inference demand. Analysts at Morgan Stanley estimate Microsoft's total AI infrastructure spending, including its stake in OpenAI, has exceeded \$60 billion, making it the largest single corporate investor in generative AI infrastructure globally.

GitHub, which Microsoft acquired in 2018, crossed \$4 billion in annual recurring revenue, buoyed by GitHub Copilot seat growth and the new GitHub Copilot Enterprise tier aimed at large development organizations. Separately, Microsoft announced that LinkedIn Premium has surpassed 100 million paid subscribers, contributing to a record quarter for the professional network.

Free cash flow for FY2025 came in at approximately \$101 billion, allowing Microsoft to return \$36 billion to shareholders through dividends and buybacks. The board raised the quarterly dividend by 10% to \$0.83 per share. Management guided for fiscal Q1 2026 revenue of \$68.1 69.1 billion, implying continued double-digit growth, and flagged ongoing investment in AI infrastructure as the primary area of capital deployment heading into fiscal 2026.

#MSFT #Azure #Microsoft 365 #Copilot #AI #Cloud #OpenAI #GitHub

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